CONFIDENTIAL · DRAFT · NON-BINDING · NEGOTIATING TERMS

ASSET ACQUISITION — HEADS OF TERMS

Scorpius Space Launch Company (SSLC) assets → Exos Aerospace Systems & Technologies, Inc.

October 13, 2026 · r2 (Word, for redline) · Restates the May 13, 2025 Asset Acquisition Agreement (Quinn/Wertz) with the revisions negotiated since, and the points raised at the October 13, 2026 SSLC board meeting

1. Purpose

This term sheet keeps the intent of the executed agreements (the October 9, 2024 Amendment, executed October 18, 2024, and the May 2, 2025 Asset Acquisition Agreement, SSLC board-approved May 2, 2025 and signed May 13, 2025): a cash-free / debt-free purchase of all SSLC assets, property, trademarks, trade secrets and IP, with credit for Exos's $790,000 investment (18.06%). It restates the price structure to add equity and SSLC-growth earn-outs. It is the basis for M&A counsel to draft the Definitive Agreement. Where it differs from the 2025 Agreement, the parties will document the change in a signed amendment.

These heads of terms cover the headline, material terms only. Once signed, they are intended to stay fixed: Exos's financing and public-company filings rely on them, and repeated changes would stall that process. Everything else (detailed reps, employment terms, side agreements) is negotiated in the Definitive Agreement.

2. Signed 2025 terms → restated terms

Term	May 13, 2025 Agreement (signed)	Restated offer (this term sheet)
Parties	Buyer: Exos (Texas). Seller: SSLC (California).	Unchanged.
Structure	Cash-free / debt-free purchase of all assets, property, trademarks, trade secrets and IP (§1).	Unchanged. Asset purchase, not stock. Exos assumes no SSLC debts or liabilities. They stay with SSLC and are paid from SSLC proceeds (debt payoff removed from the offer 10/10/2026).
Excluded assets	Microcosm's right to use PRESSURMAXX tank technology and resin for its launch vehicles and spacecraft. LOXair LLC's non-aerospace use under the October 2023 Technology License (§1).	Unchanged.
Cash at close	$2.51M (§2)	$2,510,000. Unchanged.
Seller transaction costs	$60,000 (§2)	$60,000, part of the purchase price and paid in cash to SSLC. Each party pays its own legal and advisory costs; Exos cannot pay SSLC's counsel directly. Option: pay the $60,000 at signing of these heads of terms so SSLC can retain M&A counsel, credited against cash at close.
Exos's existing stake	Exos relinquishes or retires its 18% (credit for $790K prior investment) (§2)	Unchanged. $790,000 non-cash credit. Exos's 157,553 shares are retired at close.
Total commitment at close	$3.36M ($2.57M closing + $790K prior investment)	$3,360,000 + $1,000,000 in Exos EAI units = $4,360,000 at financing close (NEW: equity).
Equity at close	None	NEW: $1.0M of Exos Aerospace Investments (EAI) units for key SSLC personnel (not pro-rata to the cap table). Issued under Exos's Rule 504 Reg D offering at the 409A value (~0.59% fully diluted at ~$170M). Restricted and legended at issuance. Counts toward the $10M rolling 12-month Rule 504 cap. U.S. persons only (kept separate from the Reg S Japan round).
Earn-outs (FY27–	None	NEW, see §3. Low $950K / Base $2.525M / High

FY31)		$4.1M.
Exclusivity	Non-exclusive until Exos has a financing agreement. Then 90 days of exclusivity. Extensions not unreasonably withheld while Exos works in good faith (§3).	Exos invokes §3 based on its exclusive financing agreement with its selected financing source. 90 days from SSLC's confirmation, plus a 60-day extension if significant progress is made. Extensions not unreasonably withheld.
Closing	Within 90 days of exclusivity, subject to §5 conditions (§6).	Target January 15, 2027 (Q1 FY27), subject to the same conditions and to Exos financing close.
Holdback	5% escrow on the closing payment, released 12 months after closing absent claims (§7).	Unchanged.
Reps & warranties	Standard reps, warranties and indemnities, subject to due diligence (§4).	Unchanged. Asset-focused: sole IP ownership free of liens, trade secrets protected, ITAR/DDTC compliance, contracts assignable, title to tooling, no undisclosed liabilities on the assets.
Conditions	Definitive Agreement. Due diligence to Buyer's satisfaction. Board and shareholder approvals. Regulatory and third-party consents (§5).	Unchanged. Diligence includes read-only QuickBooks access and review of the April 30, 2026 entries. Exos's approval is by disinterested directors (Quinn abstains), supported by the Eqvista fairness opinion, which requires a signed agreement to proceed.
Approvals (asset sale)	Board and shareholder approvals (§5).	Because this is an asset sale, not a stock sale, it needs SSLC board approval and approval by a majority of SSLC's outstanding shares (Cal. Corp. Code §1001). It does not need every shareholder to sign. SSLC remains responsible to its own shareholders for the proceeds.
Purchase-price allocation and tax	Not addressed	NEW: purchase-price allocation agreed in the Definitive Agreement. If Exos (or its auditors) steps up the tax basis of the purchased assets after closing and that creates additional tax for SSLC, Exos reimburses SSLC for that tax (true-up). No other post-closing price adjustment except the 5% escrow for indemnity claims.
Non-compete	3-year non-compete and non-solicit (prior term sheet)	Limited to SSLC's directors and Markus Rufer (the parties receiving value), not all shareholders. 5 years, covering the acquired tank business. Carve-outs: (i) Microcosm's license for its own launch vehicles and spacecraft, including the right to build tanks if Exos cannot supply them; (ii) LOXair's non-aerospace license, re-papered between Exos and LOXair at close. Side agreements are disclosed to SSLC shareholders.
Employees	Not addressed	NEW: Exos offers continued employment to all SSLC employees on terms no less favorable than today (pay and benefits), subject to Exos hiring policies and diligence. At-will employment with standard for-cause terms; no fixed-term employment contracts. Key-employee option pool and the $1.0M EAI units to key personnel are set in the Definitive Agreement.
Organization after close	Not addressed	NEW: Scorpius operates as two divisions within one Exos entity (not separate legal entities, which keeps earn-out measurement simple). California division: center of excellence for the Intuitive Machines contracts, design and development, short runs, prototyping, sustaining engineering and training, led by Markus Rufer as division head. Texas

		division: production and automation for Exos builds. Facility decisions (including a new California lease) are made after closing by Exos with the California division head's input.
Customers	Not addressed	NEW: continuity of supply to Intuitive Machines (contracts assigned or novated) and continued supply to Microcosm as a customer.
Fees	Each party pays its own costs beyond $60K of seller expenses (§9).	Unchanged. 5% outside service fee on cash proceeds.
Confidentiality / law	NDA dated July 27, 2021 (§8). Delaware law; California law for employment matters (§9).	Unchanged.

3. Earn-outs (FY27–FY31) — none pay unless the trigger is met

Earn-out	Trigger	Low	Base	High
Tank revenue	5% of SSLC's Intuitive Machines tank revenue each year, capped at $300K/yr	$750K	$1,250K	$1,500K
M1	SSLC FY2026-27 revenue ≥ $5.1M → $200K (paid FY28 Q1 once verified)	$200K	$200K	$200K
M2	Nebula OTV flight tank set delivered to and accepted by Intuitive Machines → $200K	—	$200K	$200K
M3	SSLC annual revenue ≥ $10M → $250K	—	$250K	$250K
M4	SSLC annual revenue ≥ $20M → $250K	—	—	$250K
M5	50% cut in tank build cost (dome and process automation proven) → $200K	—	—	$200K
Exos stock at RTO listing	0.0% / 0.25% / 0.50% fully diluted, issued at listing; lockup same as Exos principals	$0	$625K	$1,500K
Total earn-outs		$950K	$2,525K	$4,100K
TOTAL 5-YEAR OFFER VALUE	$4.36M at close + earn-outs	$5.31M	$6.885M	$8.46M

The low/base/high amounts are management scenarios. Exos stock values depend on an RTO listing that may not happen and are not guaranteed. Model: EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx.

4. Open items for counsel and the parties

- SSLC board actions 10/13/2026: Motions 2 (QuickBooks or equivalent access for all directors), 3 (correct AR Unbilled / customer deposits within 5 business days, using an existing industry method as the template for A La Carte) and 4 (ERP/MRP evaluation, no cost to SSLC) approved. Motions 1 (offer + exclusivity) and 5 (related-party balances) deferred to the next meeting; SSLC counteroffer to follow.
- Signed amendment to the 2025 Agreement adopting §§2–3 above (equity and earn-outs), signed by SSLC (Wertz) and Exos.
- Priority: agree these heads of terms first; the accounting corrections run in parallel. The fairness opinion and Exos's financing filings cannot proceed without a signed agreement.
- SSLC's written confirmation of §3 exclusivity, and the date it starts.
- Exos's $31,200 loan to SSLC (11% interest, past due). SSLC's board denied cancellation, so the loan stands. Its payoff mechanics at close go in the Definitive Agreement.
- Rule 504: confirm how much of the $10M 12-month capacity is left before any EAI issuance.
- Eqvista fairness opinion: agreement engaged 8/14/2026, still unsigned. Books corrections (April 30, 2026 entries) are pending.
- Status of the high-pressure helium tank owed under fully paid Exos PO 395 (due 9/24/2025 under 2025 §1).

Non-binding heads of terms. It creates no obligation until a Definitive Agreement is signed, and it is not legal advice. The May 13, 2025 Agreement remains in effect except as amended in writing.

DRAFT r2 — FOR SSLC / ADVISOR REDLINE — John M. Quinn, Cofounder & CEO, Exos Aerospace — 2026-10-13